PARAMOUNT EXPORTS (PRIVATE) LIMITED
versus
ALLIANCE INSURANCE COMPANY PRIVATRE LIMITED

HIGH COURT OF ZIMBABWE
TAKUVA J
HARARE,23 July 2025 & 4 February 2026

Court Application for Specific Performance

T R Mafukidze, for the applicant
R Jambo, B Mwarira, for the first respondent

TAKUVA J: This is a court application for specific performance in terms of the insurance policy between the two parties. Applicant claims respondent failed to uphold their contractual obligations in terms of the insurance policy. The applicant seeks the following order from this court;

1. "The respondent be and is hereby ordered to re-construct the applicant's property at Stand 3991 Salisbury Township, also known as Number 14 Plymouth Road, Southerton, Harare, within six months of the date of this order.
2. The respondent must comply with all the regulatory requirements stipulated by the Council of the City of Harare.
3. The respondent should bear the costs of suit."

Background Facts

The applicant, Paramount Exports (Private) Limited, is a company incorporated under the laws of Zimbabwe, engaged in the manufacture and sale of garments, with its business premises located at 14 Plymouth Road, Southerton, Harare. The respondent, Alliance Insurance Company (Private) Limited, is an insurance company incorporated under the laws of Zimbabwe, offering various insurance services and conducting business at 66 Ridgeway North, Borrowdale, Harare.

The applicant held an insurance policy with the respondent covering the loss of buildings, plant and equipment, stock, and business interruption (Annexure B). On 4 December 2023, a fire broke out at the applicant's premises, resulting in the destruction of a building and causing substantial damage to plant, equipment, and stock. The respondent

acknowledged its liability on 25 January 2024 and elected to reconstruct the destroyed building (Annexure C). Although the acknowledgment was initially marked "without prejudice," once the applicant accepted the election, it became binding on the respondent.

The respondent subsequently invited tenders for the reconstruction of the building and approved a bid of USD 4,684,715.07 from Heritage Construction (Pvt) Ltd. A meeting between the parties on 14 August 2024 confirmed the tender process and the intended commencement date of 1 September 2024, while also allowing for independent foundation tests and engagement with the City Council regarding incomplete architectural drawings.

The applicant raised concerns regarding the integrity of the foundations and the incompleteness of the drawings provided by the Council. Despite initial cooperation, it became apparent that the respondent was unwilling to resolve these issues and intended to proceed with reconstruction based on the incomplete drawings.

On 11 October 2024, the City Council directed that new architectural and structural drawings be submitted for approval and used during reconstruction. The applicant, through its legal practitioners, reiterated its demand that reconstruction proceed in accordance with the respondent's election to rebuild (25 September 2024). The respondent, however, disputed the demand, claiming that the foundation tests had delayed or "modified" its original offer.

On 13 November 2024, the respondent offered USD 3,898,000 in lieu of reconstruction, asserting that it was entitled under the policy to pay monetary compensation instead. The applicant rejected this offer, contending that the proposed sum was wholly inadequate, as the actual cost of reconstruction was estimated at USD 15,000,000, which remains within the insured value of USD 24,435,000 (Annexure M, expert report).

The applicant contends that the respondent is legally bound by its election to reconstruct the building and cannot unilaterally substitute monetary compensation. The foundation tests conducted by the applicant were reasonable, permitted by prior agreement, and revealed cracks in the foundations, further demonstrating the need for proper reconstruction.

In the circumstances, the applicant seeks an order compelling the respondent to reconstruct the building in accordance with its election, taking all necessary steps to ensure the building is restored to its pre-fire condition. The respondent raised preliminary points which if any is upheld, the matter will not need to proceed to merits.

Preliminary Points

1. **Material Disputes of Fact**

The respondent contends that the application is riddled with material disputes of fact, which would render application proceedings inappropriate. While it is true that the existence of genuine material disputes of facts ordinarily precludes determination on motion, in the present matter, the disputes identified relate primarily to the process of reconstruction and communications between the parties. These issues are ancillary to the central question: whether the respondent is bound by its election to reinstate the applicant's building under the insurance policy.

The law permits the court to proceed in motion proceedings where disputes of fact are largely collateral and do not go to the core of the relief sought. As established *in Supa Plant Investments (Pvt) Ltd* v *Chidavaenzi* 2009 (2) ZLR 135 (H), a material dispute of fact exists only where the parties are unable to present a clear question to the court that can be determined on affidavit evidence. In the present case, the core issue whether the respondent can resile from its election to reinstate is a question of law and contractual interpretation, not of disputed fact. Moreover, the alleged factual disagreements, such as the adequacy of architectural drawings or the reuse of foundations, do not prevent the court from determining the legal obligation of the insurer to proceed with reinstatement.

Accordingly, the court is satisfied that the point raised by the respondent is without merit. The alleged material disputes of fact do not preclude the determination of the applicant's claim on affidavit, and the point is therefore dismissed.

2. **Whether the Application is a Nullity Because Specific Performance Is Not Recognised**

The Respondent contends that the application before this Court is a nullity on the basis that an insured cannot compel an insurer to reinstate damaged property and that the only remedy available to the insured is damages. This submission is misplaced for a combination of contractual and Roman-Dutch law reasons.

Under Roman-Dutch law, which is the foundation of Zimbabwean contract law, specific performance is the primary and preferred remedy for breach of contract. A party to a contract is ordinarily entitled to require performance of the contract according to its terms, and only in limited circumstances will the court refuse specific performance (such as impossibility, undue hardship, or where damages are clearly adequate). This approach has long been recognised in foundational authorities such as *Farmers' Co-operative Society* v

Berry 1912 AD 343 and *Haynes* v *Kingwilliamstown Municipality* 1951 (2) SA 371 (A), which are applied in Zimbabwe and hold that, as a general rule, contractual obligations should be performed rather than simply compensated by damages.

In insurance contracts, the same general contractual principles apply: an insurance policy is a contract between the insured and insurer. When an insurer unequivocally elects to reinstate as the Respondent did in this case it undertakes a contractual obligation to restore the insured property to its pre-loss condition. Roman-Dutch law does not distinguish insurance contracts as being incapable of specific performance simply because they involve a financial risk allocation; to the contrary, where a party's obligation is clear and performance is possible, the party entitled to performance may seek an order for specific performance.

Indeed, although South African cases such as *Mutual & Federal Insurance Co Ltd* v *Oudtshoorn Municipality* 1985 (1) SA 419 (A) are often cited for insurance contexts, they are persuasive in Zimbabwe precisely because they adhere to the Roman-Dutch preference for performance over mere damages. Those authorities hold that once an insurer elects reinstatement, the obligation is binding and enforceable, and the insurer cannot escape by offering a cash settlement. Zimbabwean courts apply the same underlying Roman-Dutch rationale.

The Respondent cites academic statements that an insurer's reinstatement contract may not be "compellable," but such statements describe English judicial reluctance in the 19th/20th centuries to supervise rebuilding contracts, not a universal rule of contract law. They cannot displace the Roman-Dutch position that performance of contractual obligations is enforceable. Zimbabwean jurisprudence does not accept that insurance contracts are categorically excluded from specific performance.

Moreover, the Respondent's argument conflates the insurer's performance obligation with the measure of recovery on failure to perform. Even if it were correct that some jurisdictions treat insurance reinstatement as resulting in damages, that does not mean the insurer's obligation ceases to exist or cannot be enforced. Under Zimbabwean law, where a party refuses or fails to perform, the innocent party may seek an order compelling performance or, **alternatively,** recover damages assessed on the basis that performance ought to have been effected.

For these reasons, the Respondent's point *in limine* that the application is a nullity because the insured cannot compel reinstatement fails. The application is not inherently

defective. The Applicant is entitled to seek enforcement of the Respondent's contractual election to reinstate, and this Court may grant such relief where appropriate.

The submission that the Applicant's claim is a nullity on the basis that specific performance is unavailable is unsound. Roman-Dutch principles recognise specific performance as a primary remedy, and insurance contracts are not excluded from this rule. Accordingly, the Respondent's point in limine is dismissed, and the matter proceeds to the merits.

3. Arbitrability of the Dispute

The Respondent contends that the dispute is subject to arbitration under the policy, asserting that once a party invokes arbitration, the Court is precluded from entertaining the matter. The Applicant challenges this, and upon careful analysis, several points emerge.

Firstly, the arbitration clause in the insurance policy is limited in scope. It applies only to disagreements concerning the monetary value or quantum of claims under the policy. The current dispute, however, revolves around whether the Respondent can rescind its election to reconstruct the building, a matter of contractual obligation, not a valuation dispute. Therefore, the subject matter falls outside the narrow ambit of the arbitration clause and does not constitute an arbitrable issue.

Secondly, the Applicant has not initiated arbitration proceedings in respect of the building reinstatement. The only formal invocation of arbitration relates to a dispute over the valuation of stock, which is entirely distinct from the building reconstruction issue. This confirms that the arbitration process has not been engaged for the present matter.

Thirdly, the attempt by the Respondent to classify the building reinstatement issue as arbitrable misrepresents the state of proceedings. The fact that correspondence concerning stock valuation exists does not transform the building reconstruction dispute into one pending before arbitration. Allowing the Respondent's argument to prevail would be tantamount to permitting a party to extend arbitration beyond its agreed limits, undermining the clarity and enforceability of arbitration clauses.

Finally, the nature of the dispute is inherently judicial. It involves enforcing a specific contractual obligation and ensuring that the insured property is restored as elected, which is a matter for the Court rather than an arbitrator. The Applicant's position highlights that arbitration cannot be invoked selectively to avoid compliance with the agreed terms of reconstruction.

Upon analysis, it is clear that the dispute concerning the Respondent's refusal to rebuild the premises is not arbitrable. It does not fall within the scope of the policy's arbitration clause, and no referral to arbitration on this specific matter has been made. The Court is therefore competent to hear and determine the application. The Respondent's preliminary point on arbitration lacks merit and must be dismissed.

4. **Point on New Evidence in Answering Affidavit**

The court notes the respondent's objection that the applicant introduced new evidence and allegations in its answering affidavit. The applicant, however, denies that any new evidence was presented, asserting that the answering affidavit merely responds to matters raised in the founding papers.

Having considered the submissions, the court finds that the point lacks merit. A bare denial by the applicant suffices in this context, as the respondent has not shown that the documents or communications cited were, in substance, new or prejudicial to its ability to respond. The answering affidavit is therefore treated as properly confined to replying to the founding affidavit.

The matter will therefore proceed to be dealt with on the merits.

Issues for determination

The issues for determination by this Honourable Court are:

1. Whether the respondent has complied with its contractual obligations in relation to the reconstruction, taking into account the applicant's concerns about foundation cracks and incomplete drawings.
2. Whether the applicant is entitled to an order compelling the respondent to carry out reconstruction in accordance with its election under the policy.

Analysis

1. **Whether the respondent has complied with its contractual obligations in relation to the reconstruction, taking into account the applicant's concerns about foundation cracks and incomplete drawings**

The respondent's contractual obligations include ensuring that reconstruction is carried out properly and safely. The applicant raised concerns regarding cracks in the foundations and the incompleteness of architectural drawings. These concerns were

reasonable and were raised with the respondent and the City Council. The respondent cannot rely on these issues as a basis for avoiding its obligations.

The insurer is liable for the consequences of failing to perform adequately, and any deficiencies or potential risks (such as foundation cracks) cannot absolve it of its obligation to reinstate. The applicant's actions, including commissioning independent tests and liaising with the Council, were necessary to ensure the reconstruction could be performed safely and properly. As such, the respondent has not complied with its contractual obligations, since it has refused to proceed with reconstruction under proper conditions and instead attempted to offer inadequate monetary compensation.

2. Whether the applicant is entitled to an order compelling the respondent to carry out reconstruction in accordance with its election under the policy.

MAFUSIRE J(as he then was) relied on certain cases in his judgment *of Mabvuramiti* v *Altfin Insurance Company* HC 12713/11 that will assist this court in analyaing this issue. The learned Judge cited the case of *Savanhu* v *Marere* NO & Ors, 2009 [1] ZLR 320, the Supreme Court, wherein MALABA DCJ, stated, at page 325A – C:

> "The right to claim specific performance of a contract by the other party is premised on the principle that the appellant must first show that he has performed all his obligations under the contract or that he is ready, able and willing to perform his own side of the bargain. Wessles The Law of Contract in South Africa vol 11 para 3135 states that:
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> 'The court will not decree specific performance where the plaintiff has himself broken the contract unless he can show that he has performed his part or is ready to do so, and therefore he cannot ask for specific performance unless he has either performed his part of the contract or unless he has been prevented from doing so by the defendant.' See also *Wolpert* v *Steenkamp* 1917 AD 493 at p 499."

It should be noted that the *Mabvuramiti* case involved a plaintiff that claimed specific performance from their insurer. Unfortunately, in this case the judgment did not favour the plaintiff solely due to the fact that the plaintiff had not paid their premium in full. By citing the case of *Savanhu* to support his view, MAFUSIRE J(as he then was) established the point that where an insured seeks specific performance of an insurer's contractual obligation, the insured must simply first satisfy their own contractual obligations and that the remedy itself (specific performance) is recognised and litigated. Specific performance is a primary contractual remedy and a party who is ready and willing to perform their part may demand performance from the other, provided performance is possible and just. Respondent cannot therefore rely on simple excuses to avoid its liability as an insurer.

To add on, R H Christie, Business Law in Zimbabwe at page 240, explains an insurers obligation once an election is made and it states,

> "Contracts of indemnity often give the insurer the option of paying the amount of the insured's loss in cash, reinstating (repairing) or replacing the property insured. If the option is given to the insurer the insured has no choice, but once the insurer has made its election it cannot change its mind and is under a duty to restore the property substantially to its previous condition even if the cost exceeds the total amount payable under the policy."

This passage explains the legal effect of an insurer's election under a contract of indemnity. Where an insurance policy gives the insurer the discretion to decide how to compensate the insured after a loss, the insured cannot insist on a particular method of compensation, such as cash payment. However, once the insurer chooses a specific option especially reinstatement or repairthat choice becomes binding in law. The insurer is then obliged to restore the insured property substantially to its former condition and may not later change its election. Importantly, this obligation persists even where the cost of repair exceeds the policy limit, as the insurer's election creates a contractual duty independent of the original monetary cap. This rule protects the insured from prejudice caused by an insurer abandoning or altering its chosen method of indemnification. The insurer is therefore bound by the election and is not at liberty to choose otherwise.

In Farmers Co-operative Society (Reg) v *Berry* 1912 AD 343 at 350 it was held:

> "Prima facie, every party to a binding agreement who is ready to carry out his own obligation under it has a right to demand from the other party, so far as it is possible, a performance of his undertaking in terms of the contract. As remarked by KOTZE CJ in *Thompson* v *Pullinger* the right of the plaintiff to the specific performance of a contract where the defendant is in a position to do so is beyond all doubt."

The case establishes that under Roman-Dutch law, specific performance is the primary remedy for breach of contract. A party to a valid and binding contract who is ready, willing, and able to perform their own obligations is, as a general rule, entitled to insist on actual performance by the other party rather than being restricted to a claim for damages. This right is not absolute, as it operates only where performance is possible and fair, and the court retains a discretion to refuse specific performance in circumstances such as impossibility, undue hardship, or inequity. The decision therefore confirms that specific performance is not an exceptional remedy but the ordinary relief available to an innocent contracting party. This serves to guide the respondent who was misdirected in its view that the applicant is not entitled to specific performance.

Conclusion

In the present matter, the respondent has failed to comply with its contractual obligations in relation to the reconstruction of the applicant's building. The applicant raised reasonable concerns regarding foundation cracks and incomplete architectural drawings, and took all necessary steps, including commissioning independent tests and liaising with the City of Harare, to ensure that reconstruction could be carried out safely and properly. These actions were entirely consistent with the respondent's obligations and cannot be construed as obstructing its performance.

Accordingly, the applicant is entitled to an order compelling the respondent to reconstruct the building in accordance with its election under the policy, ensuring the property is restored to its pre-loss condition. Monetary compensation in lieu of reinstatement is wholly inadequate and would fail to give effect to the insurer's binding contractual obligation.

It is accordingly ordered that:

1. The respondent be and is hereby ordered to re-construct the applicant's property at Stand 3991 Salisbury Township, also known as Number 14 Plymouth Road, Southerton, Harare, within six months of the date of this order.
2. The respondent must comply with all the regulatory requirements stipulated by the Council of the City of Harare.
3. The respondent should bear the costs of suit.

TAKUVA J:……..

Coghlan, Welsh and Guest Legal Practitioners, applicant's legal practitioners
Jambo Legal Practice, respondent's legal practitioners